Data Centers in Indonesia

Market Landscape, Investment Database, and Fiscal Cost of Tax Incentives

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Working Paper

Compiled from public sources including Arizton, Mordor Intelligence, company press releases, and Indonesian Ministry of Finance data.

Contents

Executive Summary

Indonesia's data center market is experiencing rapid expansion, driven by the country's growing digital economy, hyperscaler cloud region deployments, and AI infrastructure demand. Key findings:

- **88 existing facilities** across 17 cities, with **25 upcoming** facilities in various stages of development.
- Total operational IT load capacity of approximately **307 MW** (2024), projected to reach **3,560 MW by 2030**.
- Over **USD 11.2 billion** in announced data center investments, led by Digital Edge (USD 4.5B), DAMAC Digital (USD 2.3B), and Microsoft (USD 1.7B).
- Indonesia offers **100% corporate income tax holidays** for up to 20 years for qualifying data center investments above IDR 500 billion.
- We estimate the annual fiscal cost (revenue foregone) from data-center-specific tax holidays at approximately **USD 370 million per year**, with a cumulative ten-year cost of **USD 3.7 billion**.

Market Overview

Market Size and Growth

The Indonesia data center market was valued at **USD 2.81 billion in 2025** and is projected to reach **USD 6.08 billion by 2031**, growing at a CAGR of 13.73%. In IT load capacity terms, the market is expected to expand from 1,440 MW in 2025 to 3,560 MW by 2030 (CAGR: 19.89%).

Table 1: Indonesia Data Center Market Projections

Metric	2025	2030/2031
Market Value (USD billion)	2.81	6.08 (2031)
IT Load Capacity (MW)	1,440	3,560 (2030)
Construction Market (USD billion)	3.05	7.11 (2030)
Colocation Segment (USD billion)	0.46	1.15 (2030)
Hyperscale Segment (USD billion)	3.49	7.96 (2030)

Geographic Distribution

Jakarta dominates with **56.72%** of market share in 2025. Batam is the fastest-growing secondary hub (CAGR: 21.70%), benefiting from Special Economic Zone incentives, proximity to Singapore, and new submarine cable links.

Table 2: Key Data Center Hubs in Indonesia

Region	Key Locations	Estimated Pipeline (MW)
Greater Jakarta	Bekasi, Cikarang, Cibitung, Bogor	∼450
Batam	Nongsa Digital Park, SEZ	∼170
Other	Surabaya, Bandung, Pekanbaru	∼50

Data Center Inventory

Major Operators by Capacity

Table 3: Major Data Center Operators in Indonesia (Known Capacity)

Operator	Key Facility	Live MW	Planned MW	Notes
DCI Indonesia	Cibitung Campus	119	600	Largest operator; Tier IV
Princeton Digital	JC3 Jakarta	120	118	AI-ready; Batam expansion
EdgeConneX	Jakarta Campus	7	200	Hyperscale multi-phase
Digital Edge	EDGE1/2 + CGK	29	500	$4.5B CGK Campus
NTT DATA	JKT2/JKT3/JKT2A	24.6	57	JKT3 expandable to 45 MW
Telkom (NeutraDC)	33 sites	42	60	70% utilization
SpaceDC	ID01	25.5	—	PUE 1.3
STT GDC	STT Jakarta	—	72	Ground broken
BDx Indonesia	CGK4 Jatiluhur	—	500	AI campus; renewable
DAMAC Digital	Cikarang	—	144	$2.3B; AI-ready
Digital Realty	CGK10/CGK11	5	32	JV with Bersama Digital
Gaw / Sinar Primera	Batam	5.2	20	Phase 1 operational
DayOne / INA	Nongsa Digital Park	—	72	JV with INA
Equinix / Astra	JK1 Jakarta	—	—	AI-ready; 50+ NSPs
IndoKeppel	IKDC1 Bogor	—	—	7-hectare campus

Hyperscaler and Cloud Provider Presence

Table 4: Hyperscaler Investments in Indonesia

Company	Project	Investment	Status
Microsoft	Indonesia Central Region	USD 1.7B	Under construction (2024–2028)
AWS	Multi-AZ Jakarta Region	—	Operational
Google Cloud	Jakarta Cloud Region	—	Operational
Indosat-NVIDIA	AI Factory Jakarta	USD 250M	Operational (Oct 2024)
Tencent	Capacity Expansion	USD 500M	Planned (2026)
Oracle	Indonesia North (Batam)	—	Operational (Jul 2025)

Investment Landscape

Announced Investments Summary

Total announced data center investments in Indonesia exceed **USD 11.2 billion**. The following table summarizes the largest commitments:

Table 5: Top Data Center Investments by Value

Company	USD (B)	MW	Timeline
Digital Edge	4.50	500	2026–2027 (Phase 1)
DAMAC Digital	2.30	144	2026
Microsoft	1.70	—	2024–2028
JV Consortia	0.75	—	2024–2026
Tencent	0.50	—	2026
Digital Edge (EDGE2)	0.33	23	2026
Indosat-NVIDIA	0.25	80	2024
Princeton Digital	0.11	118	2025–2026
Total	**~10.4**		

Additional unlisted investments (BDx 500 MW campus, DCI Indonesia expansions, EdgeConneX 200 MW, STT GDC, and others) bring the total well above USD 11 billion.

Tax Incentive Framework

Corporate Income Tax Holiday

Under **PMK No. 69/2024**, data centers are classified as one of 18 *pioneer industries* eligible for corporate income tax (CIT) holidays:

Table 6: Tax Holiday Structure for Data Center Investments

Investment Size	CIT Reduction	Duration
IDR 100B–500B (USD 6.6–33.3M)	50%	5 years
IDR 500B–1T	100%	5 years
IDR 1T–5T	100%	7 years
IDR 5T–15T	100%	10 years
IDR 15T–30T	100%	15 years
Above IDR 30T (USD ~2B)	100%	20 years
+ 50% CIT reduction for 2 additional years after holiday ends		

Special Economic Zone (SEZ) Incentives

Facilities in designated SEZs (Batam, Cikarang, Nongsa Digital Park) benefit from:

- **0% VAT** on imported equipment (saving ~11% capex)
- **100% foreign ownership** permitted

- **Accelerated depreciation** on digital infrastructure assets
- Streamlined **10-week approval** via Online Single Submission (OSS), down from 24 weeks

Other Fiscal Incentives

- **Investment allowance**: 30% of total investment deductible over 6 years (5%/year)
- **Reduced dividend WHT**: 10% (vs. standard 20%)
- **Tax loss carry-forward**: up to 10 years (vs. standard 5)
- **R&D super deduction**: up to 300% of qualifying expenses

OECD Pillar Two Implications

The 15% global minimum tax creates a structural challenge: if Indonesia grants a full CIT holiday, the investor's home country may levy a top-up tax, effectively transferring the fiscal benefit abroad. Indonesia is redesigning incentives to incorporate a **domestic top-up tax** (Qualified Domestic Minimum Top-up Tax, or QDMTT), ensuring the 15% floor is collected domestically rather than ceded to foreign jurisdictions.

Fiscal Cost Assessment

Indonesia's Overall Tax Expenditure

Indonesia's total tax expenditure in 2023 was **IDR 362.5 trillion (USD 23.8 billion)**, equivalent to 1.73% of GDP. Tax holidays and allowances specifically accounted for IDR 20 trillion over the 2018–2022 period, attracting IDR 370 trillion in investment—an **18.5x leverage ratio**.

Estimated Data Center Tax Revenue Foregone

We construct a bottom-up estimate of the fiscal cost of tax holidays for the data center sector:

Table 7: Estimated Annual Revenue Foregone from Data Center Tax Holidays

Parameter	**Value**
Total announced DC investment	USD 11.2 billion
Assumed annual revenue (at maturity)	USD 7.6 billion
Assumed operating profit margin	22%
Implied taxable income	USD 1.68 billion
CIT rate	22%
Annual CIT foregone (100% holiday)	**USD 370 million**
Equivalent in IDR	**~IDR 5.7 trillion**
10-year cumulative foregone	*USD 3.7 billion*
As % of 2023 total tax expenditure	*~1.6%*

Key assumptions and caveats:

1. Not all investments will qualify for the maximum 100% holiday; some receive 50% reductions.
2. Data centers have long ramp-up periods (2–4 years) before reaching full profitability; revenue foregone is lower in early years.

3. OECD Pillar Two will reduce the effective holiday for large MNEs by imposing a 15% domestic top-up, recovering approximately **USD 250 million annually** of the foregone amount.

4. The estimate does not include **indirect fiscal benefits**: job creation, digital economy growth (target: USD 130B by 2025), increased VAT from downstream services, and property/land taxes.

5. SEZ-related VAT exemptions on equipment imports add an estimated **USD 120–180 million** in additional revenue foregone (one-time, during construction phases).

Cost-Benefit Perspective

Table 8: Fiscal Cost vs. Economic Benefits (Indicative)

Metric	Estimate
Annual tax revenue foregone (CIT)	USD 370M
SEZ VAT foregone (construction, one-time)	USD 120–180M
Direct jobs created (construction + ops)	15,000–25,000
Indirect/induced employment	50,000–80,000
Data center market value contribution (2025)	USD 2.81B
Digital economy GDP contribution target	USD 130B
Investment leverage ratio (historical)	18.5x

Conclusions

1. Indonesia has become a **major data center destination** in Southeast Asia, with over USD 11B in announced investments and 25 facilities under development.

2. The tax holiday regime is a **significant driver** of investment: historical data shows an 18.5x investment-to-incentive leverage ratio.

3. The estimated annual fiscal cost of **USD 370M** (IDR 5.7T) is substantial but modest relative to Indonesia's total tax expenditure (IDR 362.5T) and the economic multiplier effects.

4. The **OECD Pillar Two** global minimum tax will structurally reduce the effective cost of tax holidays by ensuring a 15% floor, potentially recovering USD 250M annually.

5. **Jakarta** will remain the primary hub, but **Batam**'s SEZ advantages position it as a fast-growing alternative, especially for Singapore-linked workloads.

Data Sources

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